

Sample Trade

Palmer sat at his computer desk. His foot hammered the carpet, and his fingers drummed the desk. It looked as if he swallowed too much caffeine. I am sure you have met the type.

Faced with the situation shown in [Figure 9.5](#), he took swift, decisive, maybe even impulsive action. At point A, where the stock touched the top trendline, he quickly sold it short and received a fill at 33.38. He placed a stop at 34 in case the trade went against him. Then he waited.

It did not take long for the stock to cross the broadening top and reach the horizontal trendline.



[Figure 9.5](#) Shown are price targets using half and full formation heights for the broadening top formation.

His fingers stopped moving, and he pointed at the screen. “I should have placed an order to cover my short at 29.38. That's the value of the bottom trendline. Look what happened.”

Price bounced off the low. He covered his short the following day, shown as point B, at 30.50. Immediately, he went long and bought the stock at the